

Chris Giles on Central Banks **Monetary policy**

Lessons in monetary transmission

At Jackson Hole, central bankers offered different views about the tools of their trade



Grand Teton National Park, where central bankers gathered this week for the annual Jackson Hole symposium © Bloomberg

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Published AUG 27 2024

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With the much-anticipated Federal Reserve pivot upcoming, reports about this year's Jackson Hole conference have mostly focused on indications about the trajectory of interest rates in the next few months.

While central bankers broadly agreed that easing is on the cards in the near term, there was less consensus about the issue that gave the conference its theme: monetary transmission and its effectiveness.

Policymakers appear to have reached different conclusions about whether the monetary tools available to them have worked as intended over the past few years. What's more, they also seem to have different ideas about whether monetary transmission will work in predictable ways when the next crisis hits.

Let's look at the conclusions of each central banker — and what they can learn from each other:

Powell: business as usual

For all its cautiousness, [Fed chair Jay Powell's keynote address](#) projected an overarching sense of confidence in a job well done.

His diagnosis of the US economy's issues over the past few years was clear and confident. In his telling, these challenges are now “fading”.

“Most of the rise in inflation [was due to] an extraordinary collision between overheated and temporarily distorted demand and constrained supply,” he said. In this set of circumstances, the Fed's job was to “moderate aggregate demand, and [to anchor inflation] expectations”. He believes it succeeded on both counts.

His speech offered two messages.

First, monetary transmission worked exactly as intended via financial conditions and expectations. As Powell put it, “our restrictive monetary policy helped restore balance between aggregate supply and demand, easing inflationary pressures and ensuring that inflation expectations remained well anchored”.

Second, demand and supply shocks that caused inflation to rise above target did not bring structural change to the US economy. The implication is that monetary tools that worked this time can reasonably be expected to work in more or less exactly the same way when the next crisis hits.

What Powell did not mention is that in 2020 the Fed upgraded its policy framework to a new formulation — flexible average inflation targeting — with the aim to “offset the downward bias to inflation expectations exerted by the lower bound under inflation targeting”, as New York Fed president John Williams put it. Under FAIT, future inflation is allowed to overshoot the 2 per cent target when present inflation undershoots.

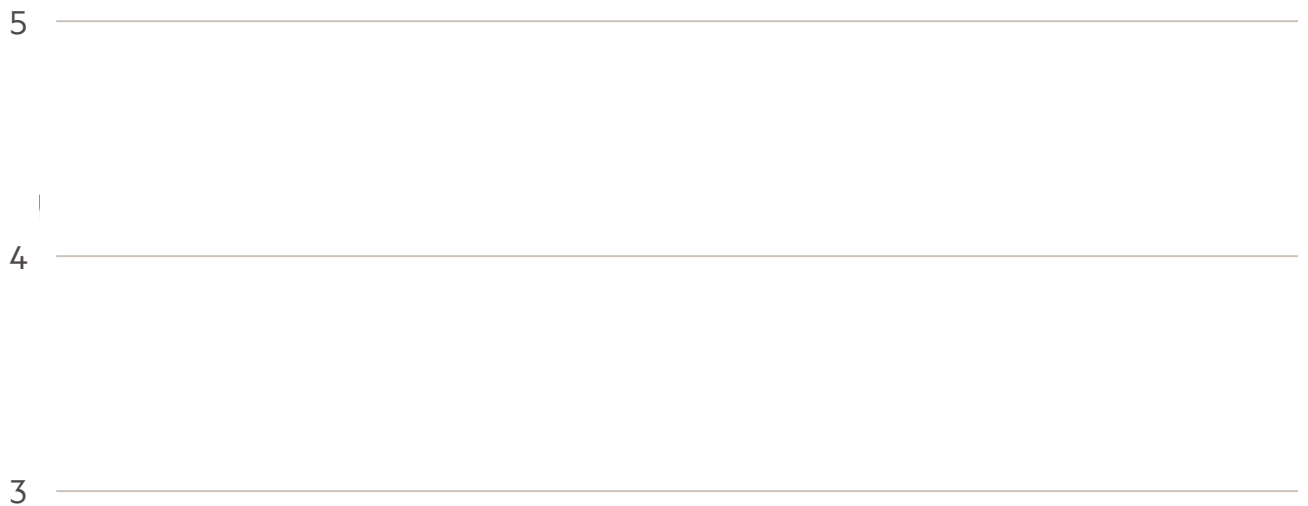
As Powell notes, inflation expectations have been well behaved in the US since then, falling sharply from elevated levels in 2022. But if Fed rates do not go back to the lower bound, it could mean that this time, the Fed has had more room to allow expectations to drift up than it will in the future.

US inflation expectations are slightly higher than pre-pandemic

Expected change in prices (%)

One year ahead

Five years ahead



Bailey: in the dark

Bank of England governor Andrew Bailey [struck a far less confident tone](#).

First, he indicated that the BoE had not been entirely successful at managing inflation expectations. “Intrinsic inflation persistence where price and wage setting behaviour does change [. . .] is still with us,” he said, though he added that it had come down slightly over the past year.

Second, Bailey did not seem to have a clear sense of exactly what level of policy restriction would be needed to squeeze out the remaining persistence — or, indeed, which of the various monetary transmission channels would best achieve this goal.

“Is the decline of persistence now almost baked in [. . .] or will it also require a negative output gap to open up, or are we experiencing a more permanent change to price, wage and margin setting which would require monetary policy to remain tighter for longer?” he asked the audience.

Bailey’s uncertainty went further still. Elsewhere in his speech, he reflected that monetary transmission may not have worked as policymakers expected this time — both because of the significant structural changes to the economy since the last tightening cycle, and because of the peculiarities of raising rates from near zero.

If the transition from ultra-easy to tight policy altered transmission, the point is relevant not just for the BoE. In any case, he is right to point out that the global economy has changed a lot since the last global tightening cycle.

Lane: helped by circumstances

Like Powell, the European Central Bank’s chief economist Philip Lane sounded confident that the ECB’s policy stance [had been transmitted as intended](#), though he noted that, as in the UK, “the return to target is not yet secure”.

But his description of the various channels of monetary transmission reveals that it was facilitated by a few external factors. At least some of these should not be expected to recur next time the ECB needs to raise rates, meaning that in a future crisis the ECB’s playbook might also have to change.

In terms of the impact of restrictive policy on aggregate demand, Lane said that weaker consumer confidence and skyrocketing energy prices after Russia's invasion of Ukraine "reduced the extent of demand dampening that needed to be generated by monetary tightening". This implies that if the next bout of high inflation is caused by a shock that works against tight policy, such as a positive demand shock, monetary transmission will be less forceful. Lessons from the past tightening cycle will not necessarily apply.

The ECB's tightening campaign also prevented inflation expectations from becoming unanchored, Lane said, but he also noted that "in the post-crisis years before the pandemic, expectations had become de-anchored to the downside".

In other words, Lane said explicitly what Powell omitted: the ECB had extra room to let medium-term inflation expectations move up this time and could therefore adopt a gentler, more gradual approach to tightening. With expectations now settled at a higher level than pre-pandemic, that room may not be available next time.

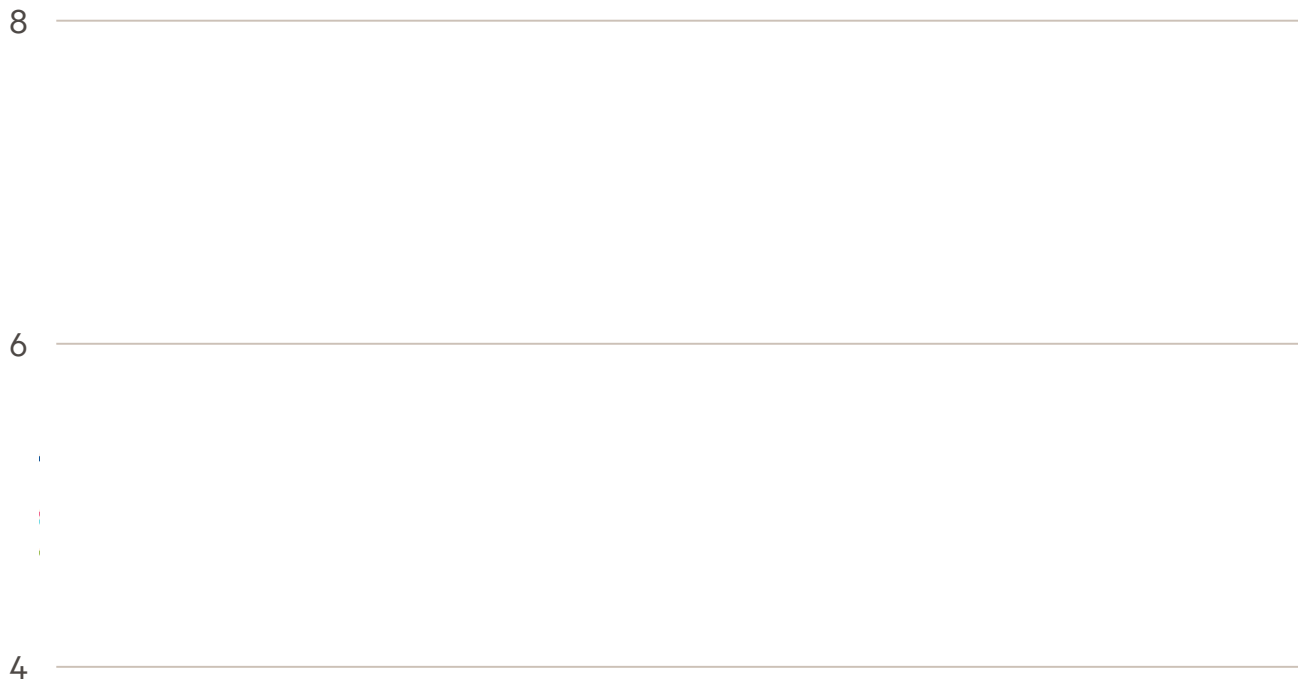
It is also interesting to contrast Lane and Bailey's conclusions about the impact of negative demand and supply shocks, since they were similar in both the Eurozone and UK. While Lane seems to believe that slowing real activity dragged on inflation, Bailey thinks that higher inflation turbocharged expectations in a way that even very tight policy could not fully counter.

Data shows that measures of underlying inflation, including core and services, peaked higher in the UK. Is the UK economy facing its own idiosyncratic issues, like low labour force participation, that make it harder for high rates to rein in inflation? Or is Lane at risk of receiving a nasty surprise?

Measures of underlying inflation are lower in the Eurozone than in the UK

Annual change in consumer price index (%)

UK services inflation UK core inflation Eurozone services inflation Eurozone core inflation



Understanding monetary transmission matters for central bankers. Knowing exactly how the tools of the trade work lowers the risk of a costly policy mistake. We won't know how Powell, Bailey and Lane's thoughts on the topic evolved after their weekend discussions at Jackson Lake Lodge — but we know with reasonable confidence what questions they've come away with.

What I've been reading and watching

Former BoE chief economist Andy Haldane [argues](#) that, with disinflation spreading and economic activity clearly weakening, it is time for central banks to cast caution aside — or risk getting left behind.

Mohamed El-Erian also [thinks](#) that Powell failed to shed enough light on the Fed's rate path beyond September, but his main concern is that lack of clarity has allowed markets to run with a narrative of untrammelled easing. Only a few weeks after the early August whiplash, risks of another market round-trip are building.

Writing ahead of Powell's speech, Adam Posen [thought](#) the Fed chair should use his platform to highlight the economic harms that some of Trump's campaign pledges would wreak on the US. He also said that, given the foggy fiscal outlook, Powell should not rule out the possibility of raising rates again next year.

Kamala Harris's ideas on housing were poorly received but blogger Noah Smith (Noahpinion) has a contrarian (and, I think, persuasive) [piece](#) on why they might actually work.

A chart that matters

In 2022, central banks in the west began quantitative tightening with the aim of giving themselves maximum firepower to respond to the next crisis whenever it hits.

But policymakers have different ideas about the endgame. The Fed wants to continue providing all of the liquidity that the financial system needs while the BoE wants to reinstate liquidity on demand, at least in part. The ECB is somewhere in between.

The central banks moved from scarce to ample reserves nearly in tandem after 2008. In the post-Covid world, their balance-sheet management policies may diverge.

Wherever this complicated, slow-moving debate ends up, the Bank for International Settlements' new database is an invaluable tool for those who follow it.

Western central banks' balance sheets are shrinking. Japan is the exception

Central bank assets (% GDP)

Japan US UK Eurozone

100

50

0

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